

higher incomes to use Chapter 7. To figure out whether you can file for Chapter 7, you have to measure your current monthly income against the median income for a household of your size in your state. If your income is lower than or equal to the median, you're eligible for Chapter 7. But if your income is higher than the median, you have to go through another hoop and take what's called "the means test." It's designed to figure out whether you have enough disposable income, after subtracting certain allowed expenses and required debt payments, to qualify for what's known as Chapter 13.

With Chapter 13, you'll pay less to file, but your debts won't be wiped clean. The court will instead set up a repayment plan that will make it easier for you to pay off all or part of what you owe creditors. It's not, however, all that simple. Chapter 13 filers with incomes above the median in their state, for example, have to hand over all of their disposable income. They're allowed to keep a certain amount, which is decided by the IRS, for expenses. There are some other drawbacks, such as the fact that personal property is valued at its replacement price, meaning how much it would cost to buy it if it was new. That makes the Chapter 13 filer look richer on paper than in reality, so the official in charge of recovering the debt has greater leeway to confiscate and sell the goods. Also, filers will have to pay the full amount of a car loan if they want to keep their car, even if the vehicle is now worth less.

Before you can file for bankruptcy under either Chapter 7 or Chapter 13, you have to complete credit counseling with a U.S. Trustee's Office–approved agency to determine whether it's really necessary. Counseling is required even if it's clear that an informal repayment plan wouldn't work. You don't have to agree to any repayment plan the agency proposes, but you do have to submit it to the court along with proof you completed the counseling before you can file for bankruptcy.

Before your case is over, you'll have to go to another counseling session to learn how to manage your personal finances. Again, you'll need proof you completed the counseling before you can get a bankruptcy discharge wiping out your debts.

Consider bankruptcy only as a last resort. If you're in deep trouble and have no choice, do some research at sites like www.thebankruptcysite.org or visit the American Bankruptcy Institute online at www.abiworld.org.